

15-5d Doing Nothing

Each of the foregoing policies aimed at reducing the problem of monopoly has drawbacks. As a result, some economists argue that it is often best for the government not to try to remedy the inefficiencies of monopoly pricing. Here is the assessment of economist George Stigler, who won the Nobel Prize for his work in industrial organization:

A famous theorem in economics states that a competitive enterprise economy will produce the largest possible income from a given stock of resources. No real economy meets the exact conditions of the theorem, and all real economies will fall short of the ideal economy—a difference called “market failure.” In my view, however, the degree of “market failure” for the American economy is much smaller than the “political failure” arising from the imperfections of economic policies found in real political systems.

As this quotation makes clear, determining the proper role of the government in the economy requires judgments about politics as well as economics.

QuickQuiz

9. Antitrust regulators are likely to prohibit two firms from merging if
- a. there are many other firms in the industry.
 - b. there are sizable synergies to the combination.
 - c. the combined firm will have a large share of the market.
 - d. the combined firm will undercut competitors with lower prices.
10. If regulators impose marginal-cost pricing on a natural monopoly, a possible problem is that
- a. consumers will buy more of the good than is efficient.
 - b. consumers will buy less of the good than is efficient.
 - c. the firm will lose money and exit the market.

d. the firm will make excessive profits.

Chapter 15: Monopoly: 15-5d Doing Nothing

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